

**BAKER
HUGHES**

Rpt Date 01/Sep/2006			Well Name/No Bilabri D 2			Section Name/No 12 1/4" pilot hole - 2 #5			Mud System SYN-TEQ (PARA)							
Job# 1		Spud Date 05/Jul/2006			MD 2385.00 m		Progress 229.00 m		Present Activity Drilling Formation							
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd		Contractor Rep Stephen Milne /Harvey Ketchion								
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN							
Drilling Assembly			Casing			Volumes	Pump Information									
Bit Gauge in		Mfr	Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC	PDC			19 1/2	178.00	Total Hole 1224.1	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	83	416
Drill Collars		Drill Pipe		13 3/8	12.415	1622.00		1224.1	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	87	436
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2385.00	Active Pits 365	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
9 1/2	2.800	18.26	5	4.276	2170.44				Tot Active 1589.1							
8 1/2	2.800	29.09	5	3	166.87				In Storage 850	Surface to Bit 6.5 min/1109stks					Total System 78.3 min/13305stks	
										Bottoms Up 53.8 min/9140stks						
Mud Properties					Max Ann Velocity			Hole Information								
Property		1	2	3	4	AV Riser 58.83 ft/min		Standpipe Pressure 3270 psi		Water Depth 152.00 m						
Sample From		Reserve	Active Pit	Flow Line	Active Pit	AV Casing 161.86 ft/min		Hole Flow 853 USgal/min		Riser Booster Rate USgal/min						
Check Time		10:00	11:00	17:15	23:40	AV Open Hole 349.44 ft/min		Solids Analysis								
MD m		2266.00	2287.00	2322.00	2385.00	Vc Open Hole 470.50 ft/min		Property	1	2	3	4				
TVD m		2138.00	2159.00	2170.05	2189.62	Vc Drill Pipe 397.32 ft/min		LGS %	8.56	7.21	7.37	7.21				
Bit Depth m		2266.00	2287.00	2322.00	2385.00	Min Ann Velocity		LGS lb/bbl	77.99	65.75	67.21	65.75				
Inc deg		60.00	61.54	67.02	72.87	AV Riser 58.83 ft/min		HGS %	5.80	5.93	5.73	5.93				
Density ppg		10.10	10.00	10.00	10.00	AV Casing 161.86 ft/min		HGS lb/bbl	85.43	87.23	84.36	87.23				
Funnel Visc. sec/quart		56.0	68.0	65.0	71.0	AV Open Hole 167.13 ft/min		Avg Dens Sol sg	3.2466	3.3215	3.2996	3.3215				
Circ BHTdegF				178.0	183.5	Bit Information										
Flow Line Temp degF			142.0	150.0	156.0	Size 12 1/4 in										
Test Temp degF		110.0	130.0	150.0	135.0	Hours On Bit										
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number										
PV cP		23	29	29	31	BHA Number 9		Rheology								
YP lbf/100ft^2		19	24	26	27	Depth In m		600 RPM	65	82	84	89				
10sec Gel lbf/100ft^2		8	11	12	13	Bit RPM		300 RPM	42	53	55	58				
10min Gel lbf/100ft^2		14	20	22	24	WOB klbF		200 RPM	29	43	44	46				
HTHP Filtrate cc		3.4	3.4	3.2	3.0	Nozzles 7x16		100 RPM	22	30	32	34				
HTHP Cake in/32		2.0	2.0	2.0	2.0	Bit Hydraulics		6 RPM	8	12	12	14				
HTHP Temp degF		250.0	250.0	250.0	250.0	TFA 1.3744 in^2		3 RPM	6							

ADVANTAGE Daily Drilling Fluids Report - 56



INTEQ

Rpt Date 01/Sep/2006	Well Name/No Bilabri D 2	Section Name/No 12 1/4" pilot hole - 2 #5	Mud System SYN-TEQ (PARA)
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Operator Peak Petroleum Indust. Limited	Company Rep James Blackmon/Peter Vermeulen	Contractor Dolphin Drilling Ltd	Contractor Rep Stephen Milne /Harvey Ketchion
Field/Lease Bilabri	Blk/Co/Parish OML - 122 / Nigeria	Area Offshore	Country/State Nigeria
			Rig BULFORD DOLPHIN

Solids Control Equipment

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	6.0		15.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	20.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	10.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	20.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					65	0	

Volumes

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole	15	Left In Pit		Starting Volume	2482.5	Riser w/o Pipe	215.7
Brine		Water		Cased Off		Trip Losses		Daily Additions	78.7	Casing w/o Pipe	709.3
Base Fluid	70	Product	8.7	Left In Hole		Injected		Daily Losses	122	Open Hole w/o Pipe	364.9
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2439.2	String Displacement	65.9
				SCE	65	Onshore Disposal		Net Change	-43.3	String Capacity	132.4
				Evaporation	26	Returned				Total Hole w/ Pipe	1224.1
				Other Losses	16					Total Active	1589.1
										Total Reserve	850.0

IADC Hours

Drilling Formation	24										
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Primary Currency USD

Secondary Currency

Totals USD

Daily Product Cost	29837.20	Daily Product Cost	0.00	Primary Product	1420365.70
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	55350.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	30737.20	Total Daily Cost	0.00	Primary Total	1475715.70
Total Inventory Value	561601.53	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	397.64 UK ton

Products and Services

Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price USD	Daily Cost USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk												
BARITE - Imported	1000 kg	204						204	540.00		0.06	0.09
Oil Based Product												
CARBO-GEL	25 kg	153					10	143	264.28	2642.80	4.81	6.76
MIL-LIME	25 kg	260					20	240	34.25	685.00	5.09	5.57
OMNI-COTE	55 USgal	8						8	2150.00			
OMNI-MUL	55 USgal	12		8				20	995.06		2.91	2.30
OMNI-PLEX	55 USgal	9		8			4	13	1618.95	6475.80	4.54	2.81
OMNI-TEC	55 USgal	14		8				22	923.00		1.70	0.35
PARA-TEQ	1 bbl	528		500			70	958	280.00	19600.00		
SA 58	50 lb								97.10			
Water Based Product												
CALCIUM CHLORIDE (97%)	50 lb	80		200				280	21.00		9.96	6.75
CAUSTIC SODA	25 kg	17						17	37.89		0.02	0.04
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85		35.16	53.46
XANTHANGUM D	25 kg	36						36	345.22		0.18	0.27
LCM												
CALCIUM CARBONATE - FINE	25 kg	200					20	180	21.68	433.60	0.65	0.01
CALCIUM CARBONATE - MED	25 kg	220						220	21.68		0.03	0.04
KWIKSEAL - MEDIUM	50 lb	39						39	70.52		0.02	0.03
MIL-PLUG FINE	50 lb	84						84	27.01			
MIL-SEAL MEDIUM	50 lb	90						90	36.00			
SOLUFLAKE F	50 lb	158						158	57.24			
SOLUFLAKE M	50 lb	80						80	57.24			
Other												
SAW DUST	25 kg	30						30	12.50			

BHDF Fluids Rep Billy Oguguwue/ Peter Waboso	BHDF Rep Phone 234-803-402-0440	Warehouse Onne	Warehouse Phone 234-84-462609	Coordinator Lawson Ogaree	Daily Cost 30737.20 USD	Cumulative Cost 1475715.70 USD	Inventory Value 561601.53 USD	Page 2
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